
ELEKTA

Buy | TP: 68,9 SEK | Upside: 26%

A self-help-driven recovery in global radiotherapy

2026-04-29

Case-team

Background and relevant experience



Ludvig Lindman Lindqvist

Linköping University

3rd Year, M.Sc. in Mechanical Engineering,

2nd Year, M.Sc. in Business & Economics

Equity Analyst, Börsgruppen Asset Management

Production Planning Intern, Alfa Laval AB



Carl Röjvall

Linköping University

3rd Year, M.Sc. in Business & Economics

Equity Analyst, Börsgruppen Asset Management

Investment Banking Intern, Vator Securities



Nils Olofsson

Linköping University

1st Year, M.Sc. in Business & Economics

Equity Analyst, Börsgruppen Asset Management

Equity Research Intern, 4C Investments

Client Associate, Handelsbanken

SwedSec Licensed Advisor (Financial & Mortgage)



Pontus Pragert

Linköping University

1st Year, M.Sc. in Business & Economics

Equity Analyst, Börsgruppen Asset Management

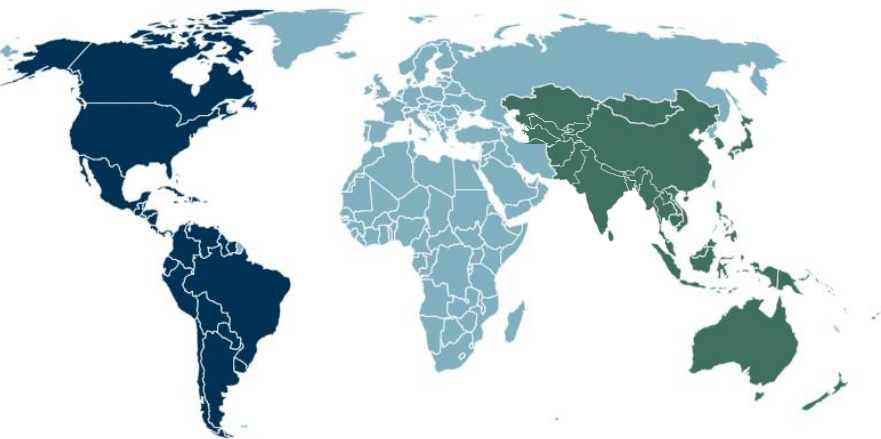
Financial Writer, TradeVenue

R&D technician, Panasonic Fire Alarms

Company overview

Strong market position, clear execution upside

Product portfolio and geographic mix



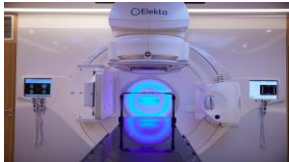
Americas 29% EMEA 36% APAC 35%

Neuro



Non-invasive precision technologies for the treatment of brain disorders and cancer, centred around Leksell Gamma Knife and the Leksell Stereotactic System.

Linac



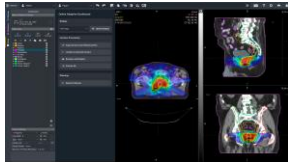
Broad radiotherapy platform including Versa HD, Harmony, Unity and Evo, spanning conventional, MR-guided and adaptive CT-Linac treatment.

Brachy



Brachytherapy offering built around Flexitron, Geneva and Venezia applicators, ImagingRing and Oncentra Brachy.

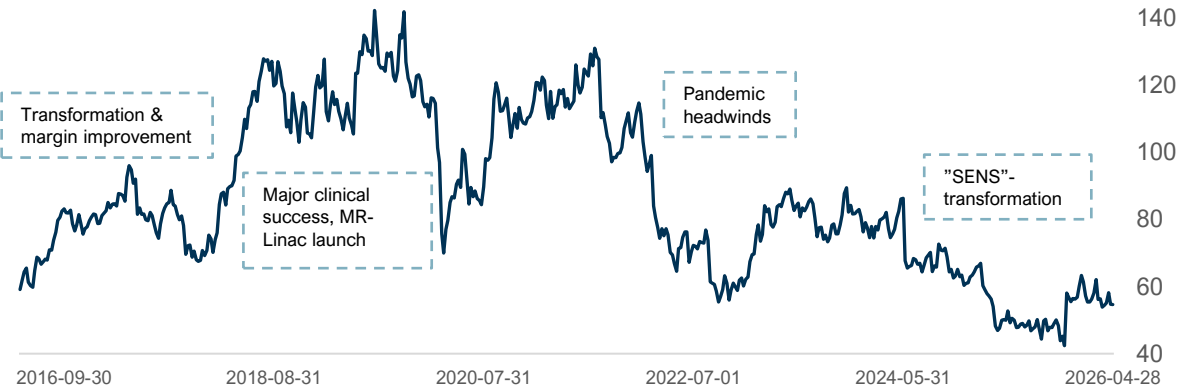
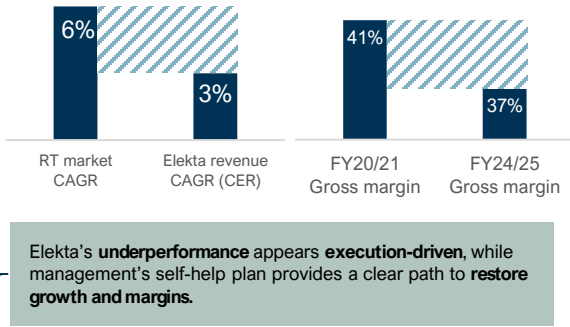
Oncology



Software suite including Elekta ONE, MOSAIQ OIS and Monaco TPS, supporting oncology workflows, patient information and treatment planning.

Execution gap vs market potential

- Operating model reset**
The operating model reset communicated in Elekta's strategic update should sharpen accountability, shorten decision paths and support >SEK 500m in annualized cost savings
- Commercial re-acceleration**
FDA clearance for Elekta Evo opens U.S. commercialization of its AI-enabled CT-Linac and could help improve competitiveness in a key underpenetrated market.
- Margin recovery**
Focused innovation, China expansion, a growing share of services in the product mix and continuous COGS reduction should support faster growth and rebuild gross margin over time.

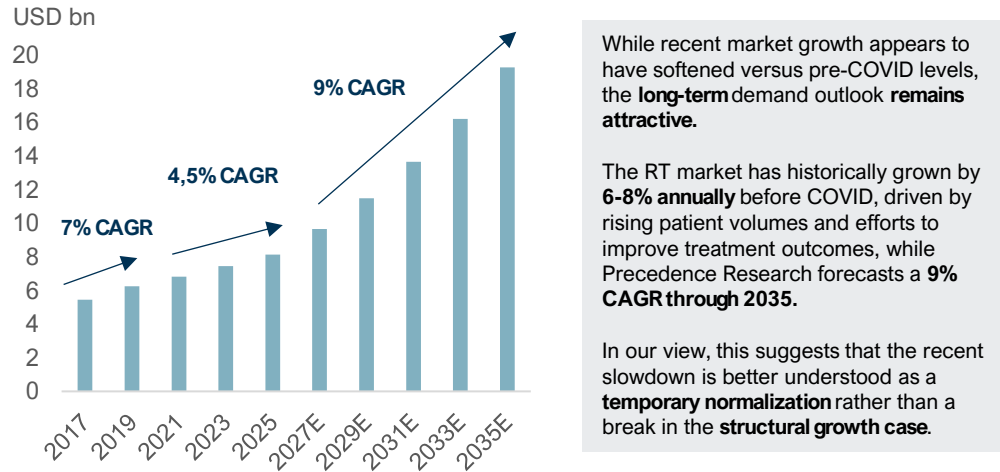


Source: Company data (Elekta), Börsdata

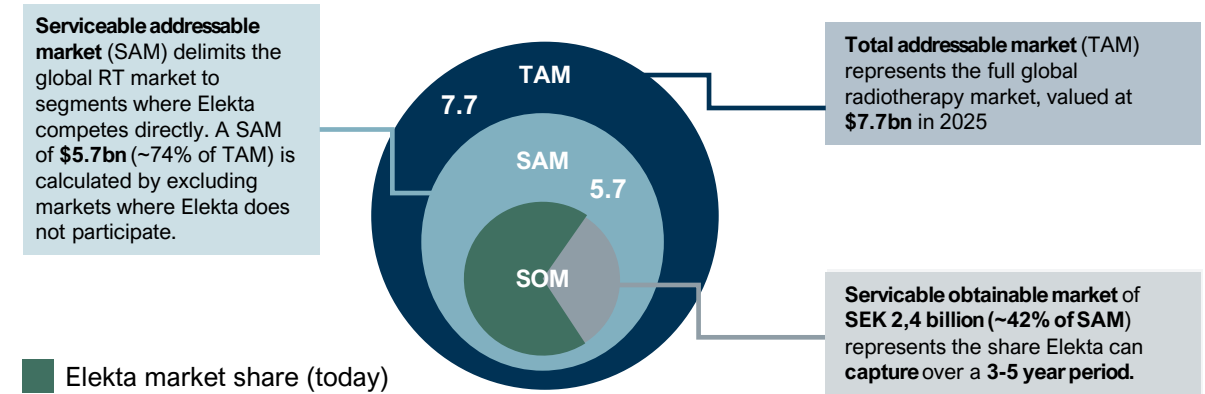
Market overview

Large, unpenetrated market with re-accelerating growth and share gain potential

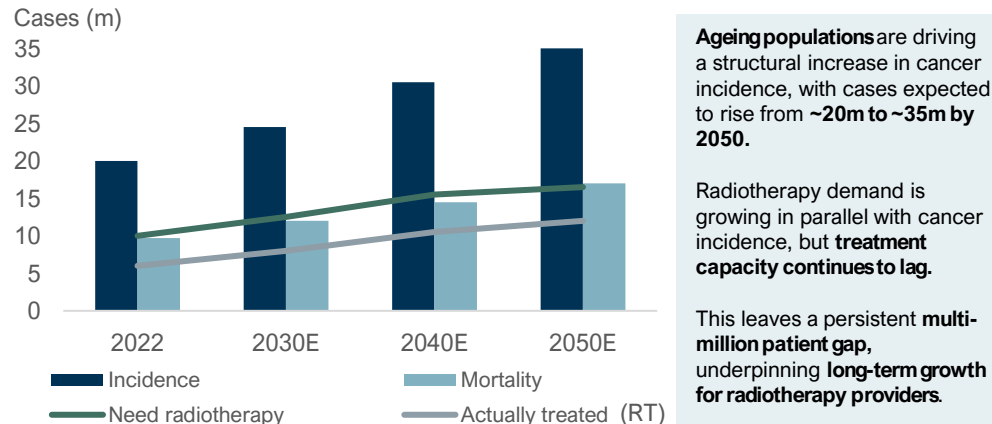
Market growth expected to re-accelerate versus recent softer years



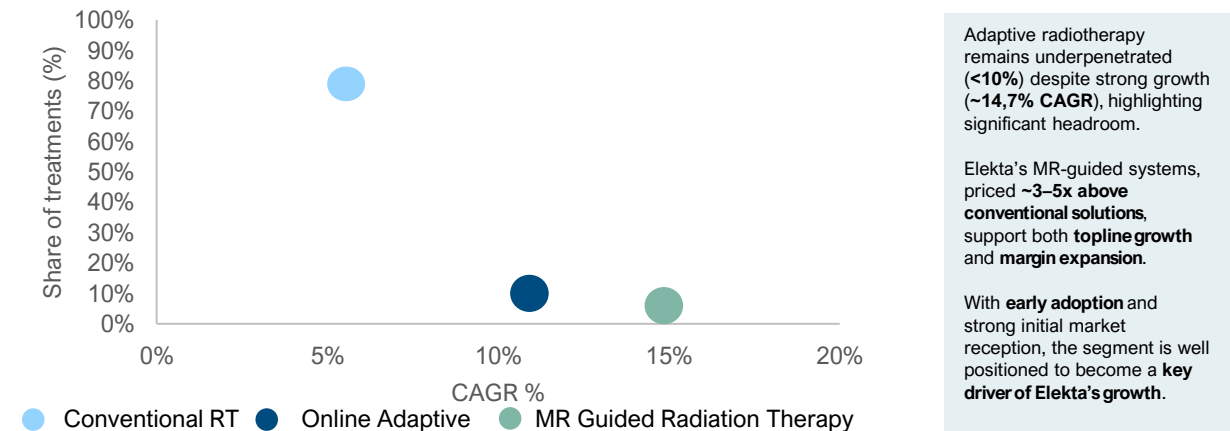
New growth initiatives to result in regained market share



Ageing-driven demand highlights structural treatment gap



Elekta is set to gain market share with MR guided therapy

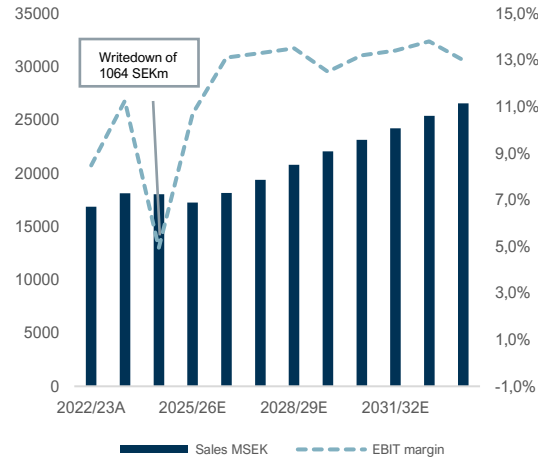


Source: Company data & estimates (Elekta), IARC, WHO, IAEA, The Lancet Oncology Commission, Precedence Research

Financials and estimates

Margin expansion ahead – EBIT set to nearly triple by 2029E as operating leverage and D&A normalization take hold

Sales estimates and growth catalysts



Growth catalysts 2026

US recovery

FDA approval in EVO enables previously delayed investment to resume in 2026

China comeback

National healthcare investments drive growth after the anti-corruption slowdown

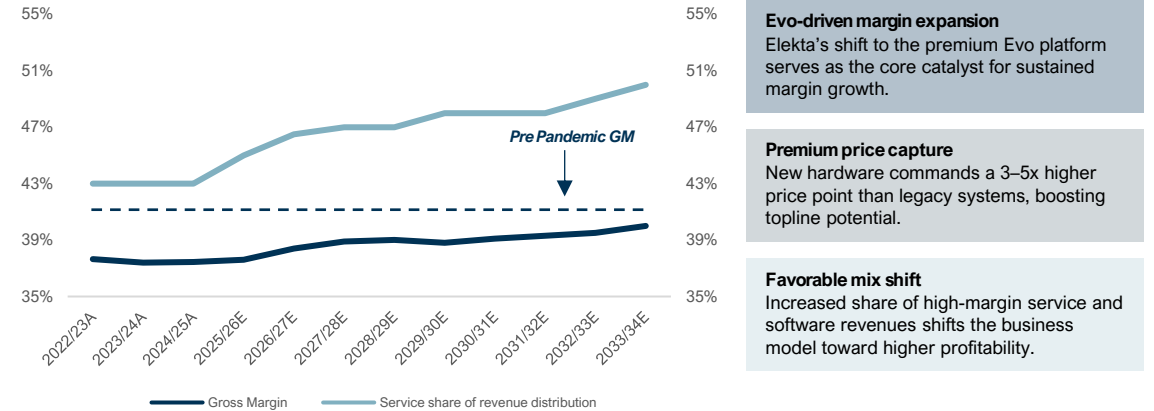
"SENS" operating model

Simplify, Empower, New Model, Speed delivers full operational effect in 2026/27

Book-to-Bill 1.17x

Orders outpacing revenues, signaling strong and visible topline momentum ahead

Gross margin expansion from mix shift



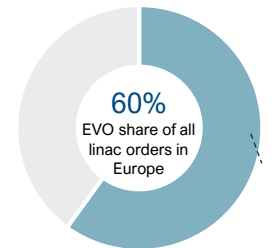
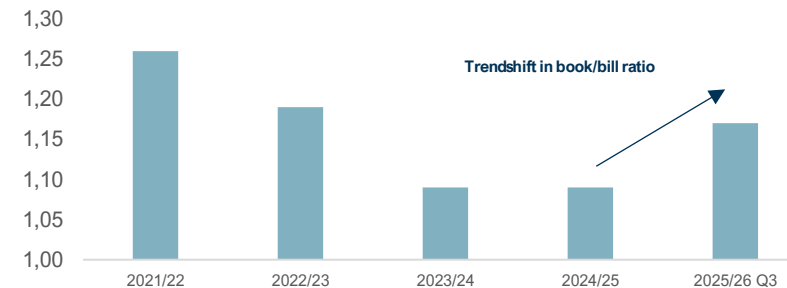
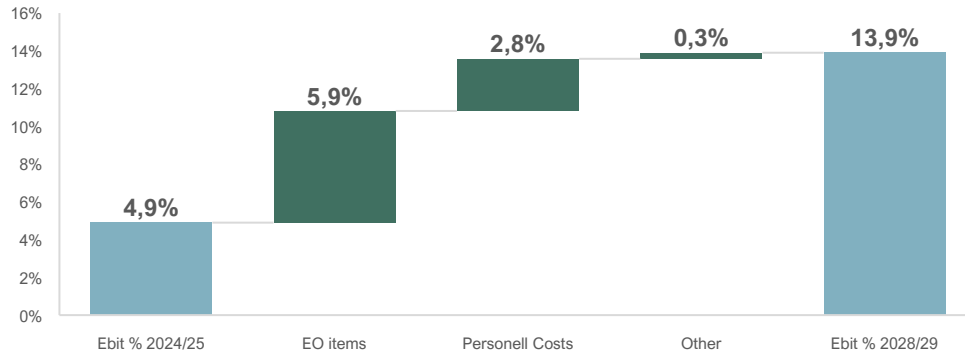
Evo-driven margin expansion
Elekta's shift to the premium Evo platform serves as the core catalyst for sustained margin growth.

Premium price capture
New hardware commands a 3–5x higher price point than legacy systems, boosting topline potential.

Favorable mix shift
Increased share of high-margin service and software revenues shifts the business model toward higher profitability.

Book to bill and EVO – replacement cycle opportunity

The average age of a linear accelerator (linac) in the US is 14 years. Elekta estimates that 66% of its installed base in the US is more than 8 years old, creating a significant replacement cycle opportunity where EVO is positioned as the primary modernized platform



Valuation and recommendation

DCF and peer analysis converge on 68,9 SEK – 26% upside with asymmetric risk/reward

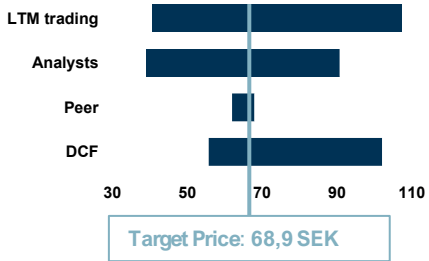
Peer table and DCF-valuation

Company	Country	SEKm MCAP	SEKm EV	2025	EV/S 2026E	2027E	2025	EV/EBIT 2026E	2027E	2025	EBIT Margin 2026E	2027E
Global Competitors												
Siemens Healthineers	Germany	433 187	711 828	2,2x	2,2x	2,0x	20,4x	14,0x	12,5x	13,5%	15,4%	16,3%
Koninklijke Philips	Netherlands	244 517	296 318	1,6x	1,6x	1,5x	13,2x	14,9x	13,1x	11,6%	10,5%	11,4%
Shanghai United Imaging	China	127 722	145 774	7,1x	5,4x	4,5x	85,9x	38,1x	29,0x	10,9%	14,3%	15,6%
Accuray	United States	486	2 079	0,3x	0,3x	0,3x	36,0x	NaN	4,7x	1,3%	-1,8%	6,7%
Ion Beam Applications	Belgium	4 452	4 771	0,7x	0,8x	0,7x	15,8x	11,2x	9,6x	4,5%	6,7%	7,5%
Swedish Medtech												
RaySearch Laboratories	Sweden	6 799	7 804	5,0x	4,3x	3,8x	26,7x	16,5x	13,3x	21,7%	26,2%	28,2%
C Rad	Sweden	895	921	1,7x	1,4x	1,3x	15,2x	7,7x	6,0x	13,7%	18,2%	20,9%
Sectra	Sweden	47 977	56 618	19,9x	13,1x	11,2x	92,8x	66,0x	54,1x	-21,7%	19,8%	20,7%
Getinge	Sweden	49 442	67 119	1,7x	1,6x	1,5x	13,9x	12,0x	10,8x	13,8%	13,3%	14,2%
All Peers												
Mean		101 720	143 692	4,5x	3,4x	3,0x	35,5x	22,5x	17,0x	7,7%	13,6%	15,7%
Median		47 977	56 618	1,7x	1,6x	1,5x	20,4x	14,5x	12,5x	11,6%	14,3%	15,6%
Global Competitors												
Mean		162 073	232 154	2,4x	2,1x	1,8x	34,3x	19,5x	13,8x	8,4%	9,0%	11,5%
Median		127 722	145 774	1,6x	1,6x	1,5x	20,4x	14,5x	12,5x	10,9%	10,5%	11,4%
Swedish Medtech												
Mean		26 278	33 116	7,1x	5,1x	4,4x	37,1x	25,6x	21,0x	6,9%	19,4%	21,0%
Median		27 388	32 211	3,4x	3,0x	2,6x	20,9x	14,3x	12,0x	13,8%	19,0%	20,8%
Elektas	Sweden	20 857	25 600	1,48x	1,41x	1,32x	16,7x	12,4x	10,0x	10,0%	12,2%	13,5%
Upside median all peers				15%	13%	14%	22%	17%	25%	1,6pp	2,1pp	2,1pp
Upside median global competitors				8%	13%	14%	22%	17%	25%	0,9pp	-1,7pp	-2,1pp
Upside median swedish medtech				130%	113%	97%	25%	15%	20%	3,8pp	6,8pp	7,3pp

Comments regarding peer table
Peer selection: We identified two peer groups, global competitors and Swedish medtech , and will weigh both groups equally based on EV/S 2027E and EV/EBIT 2027E . By balancing these groups we ensure a comprehensive valuation that accurately reflects both market benchmarks and Elektas specific operational profile.
Peer weight: We decided to weigh the peer valuation even between median EV/S 2027E and the median EV/EBIT 2027E . This results in a target price of 65,3 SEK representing an upside 19,5% .

Peer companies	
Swedish medtech	Global competitors

DCF (SEKm)	2022/23A	2023/24A	2024/25A	2025/26E	2026/27E	2027/28E	2028/29E	2029/30E	2030/31E	2031/32E	2032/33E	2033/34E		
Net Sales	16870	18120	18017	17260	18141	19356	20556	21892	23468	25182	27045	28397		
Growth				-4,2%	5,1%	6,7%	6,2%	6,5%	7,2%	7,3%	7,4%	5,0%		
NOPLAT	1136	1619	707	1220	1642	2029	2269	2416	2516	2679	2620	2818		
(+) Non Cash Expenses	2506,0	2483,0	3601,0	(1587,9)	(1541,9)	(1451,7)	(1459,5)	(1554,3)	(1900,9)	(2140,4)	(2704,5)	(2839,7)		
(-) Changes NWC	352,0	99,0	12,0	(153,6)	79,2	109,4	108,0	120,3	141,9	154,2	167,7	0,0		
(-) CAPEX	(1614,0)	(1922,0)	(1673,0)	(1225,5)	(1306,1)	(1335,6)	(1644,5)	(1904,6)	(2253,0)	(2568,5)	(2461,1)	(2697,7)		
Free Cash Flow	1676	2081	2623	(1440)	(1285)	(868)	(943)	(1163)	(1780)	(2184)	(2714)	(2719)		
Discounted FCF				1593	1515	1573	1401	1266	1207	1149	1356	1366		
DCF target price			WACC calculation				Comments regarding DCF Sales: Near-term sales growth is expected to be negative , primarily due to FX headwinds . Growth is then projected to align with the market as Elekta's new products recover prior market share losses, defending its position. Our estimates imply a sales CAGR of 6% through 2032/33E. Non-Cash Expenses: D&A as a percentage of sales is expected to decline to about 8% in the near term as the Q4 2024/25 writedown falls out of comparables. Amortization of capitalized R&D will also decrease from 10% to under 6% of sales , lowering D&A going forward. D&A is expected to rise in the long term as Elekta enters a new product investment cycle . Working Capital: Net working capital is expected to stabilize at 9% during the forecast period, consistent with the historical five-year average of 8,6% . Capex: Following a period of elevated CAPEX driven by product investments, we expect near-term CAPEX to decline as R&D spending normalizes .							
(+) PV FCF 2025/26E-2033/34E		12427	Dept/Equity		%	9,9%								
(+) Residual Value		19997	Applied Beta		number	1,14								
(=) EV		32424	Market Risk Premium		%	5,90%								
(-) Net Debt		-4743	Equity Risk Premium		%	6,73%								
(=) Market cap		27681	Add Risk-free rate		%	2,79%								
(/) Shares		382	Size premium		%	0%								
Target Price		72,5	Firm-specific risk premium		%	0%								
Upside		33%	Cost of Equity		%	9,52%								
TGR	WACC												Base rate	
							Credit risk premium						%	1,50%
							Pre-tax cost of dept capital						%	4,30%
							Tax rate						%	20,60%
							Cost of Dept						%	3,41%
							% Equity in capital structure						%	91%
							% Debt in capital structure						%	9%
						WACC								8,97%



Recommendation: Buy

Target Price: 68,9 SEK

Upside: 26,1%